RESOLUTION NO. 2026-5097

A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF KING CITY, CALIFORNIA, SUBMITTING TO THE ELECTORS A BALLOT MEASURE REAUTHORIZING THE CITY'S EXISTING LOCALLY CONTROLLED TRANSACTIONS AND USE TAX AT A RATE OF 1.5% (1 ½ CENTS) AND EXTENDING THE DURATION THEREOF UNTIL IT IS ENDED BY VOTERS; APPROVING THE RELATED ORDINANCE; REQUESTING THAT THE MONTEREY COUNTY BOARD OF SUPERVISORS CONSENT TO THE CONSOLIDATION OF SUCH BALLOT MEASURE ON THE BALLOT FOR THE CITY'S GENERAL MUNICIPAL ELECTION WHICH IS CONSOLIDATED WITH THE STATEWIDE GENERAL ELECTION TO BE HELD ON TUESDAY, NOVEMBER 3, 2026; SETTING FORTH THE REGULATIONS AND PROCEDURES FOR ARGUMENTS; AND DIRECTING THE CITY ATTORNEY TO PREPARE AN IMPARTIAL ANALYSIS

WHEREAS, the City is working hard to keep our community safe and clean by maintaining essential public safety and quality of life services; and

WHEREAS, after nearly 20 years of financial challenges, the City is now debt-free and focused on protecting this progress to address our local needs and remain self-reliant; and

WHEREAS, bigger cities get more money and resources, leaving the City without its fair-share; and

WHEREAS, the City considered all potential options, including a proposed measure that would reauthorize the City's existing transactions and use (sales) tax measure by increasing the tax rate and extending the duration of the tax until it is ended by voters, as discussed further below; and

WHEREAS, funds generated by such a transactions and use (sales) tax measure would stay local for critical city services in King City and could not be taken by the state; and

WHEREAS, the City's Fire Department is run by volunteers with a tight budget for firefighting and emergency medical response needs; and

WHEREAS, additional local funding is needed to maintain 911 emergency fire, medical, and police response, replace old fire equipment and technology, and recruit and retain experienced volunteer firefighters to keep families safe; and

WHEREAS, the City's streets and roads are old and deteriorating, which can potentially damage cars and are potentially unsafe, and this proposed measure could allow the City to prioritize repairing potholes and cracked sidewalks; and

WHEREAS, this proposed measure is subject to strong accountability provisions, including requiring all funds benefit King City residents only, independent audits and public disclosure, and citizens' oversight; and

WHEREAS, increasing the transactions and use (sales) tax rate from 1% to 1.5% will provide an additional $1.2 million annually to help ensure the City stays financially stable and maintain essential services its residents have stated as priorities, such as preventing and investigating violent crimes; maintaining gang prevention services; keeping public areas safe and clean; and increasing the number of good-paying jobs; and

WHEREAS, pursuant to Resolution No. 2026-5097, the City Council of the City of King City ("City Council") called a general municipal election to be held on Tuesday, November 3, 2026, for the purpose of electing council members as provided and, pursuant to Resolution No. 2026-5097, the City Council requested that the Monterey County Board of Supervisors consent to the consolidation of such general municipal election with the Statewide General Election to be held on the same date; and

WHEREAS, the City of King City ("City") currently has a 1% transactions and use (sales) tax pursuant to Chapter 3.22 of Title 3 of the King City Municipal Code, which is a general tax and expires on April 1, 2029; and

WHEREAS, pursuant to Article XIIIC of the California Constitution, Section 53720 et seq. of the California Government Code, the City has the authority to levy a general tax, including, but not limited to, increasing an existing tax; and

WHEREAS, Article XIIIC, Section 2, of the California Constitution requires that the election at which a general tax increase is submitted to the electorate shall be consolidated with a regularly scheduled general election for members of the governing body of the local government, except in cases of emergency declared by a unanimous vote of the governing body; and

WHEREAS, Part 1.6 (commencing with Section 7251) of Division 2 of the California Revenue and Taxation Code, and Section 7285.9 of the California Revenue and Taxation Code, authorizes a city to adopt a transactions and use tax ordinance, which shall be operative if a majority of the electors voting on the measure vote to approve the imposition of the tax at an election called for that purpose; and

WHEREAS, Revenue and Taxation Code Section 7285.9 requires that any ballot measure/ordinance establishing or increasing a transactions and use tax must be approved by a 2/3 vote of all members of the City Council and by a majority vote of the qualified voters of the City voting on the ballot measure; and

WHEREAS, pursuant to Elections Code Section 9222, the City Council desires to submit to the voters at the general municipal election to be held on Tuesday, November 3, 2026, a question relating to a transactions and use (sales) tax, which will reauthorize the City's transactions and use (sales) tax by increasing the City's transactions and use (sales) tax rate by 0.5% so that the total tax rate is 1.5% (1 ½ cents), where such increase will provide approximately $1,200,000 annually and where the total tax rate will provide approximately $3,600,000 annually, and extending the duration of such transactions and use tax until it is ended by voters.

NOW, THEREFORE, BE IT RESOLVED by the City Council of the City of King City as follows:

1. Recitals. The recitals set forth above are incorporated herein by this reference.

2. Submission of Measure. Pursuant to the laws of the State of California, including, but not limited to, Elections Code Sections 9222 and 10201, the City Council, hereby orders the submission to the qualified voters of the City of King City at the General Municipal Election to be held on Tuesday, November 3, 2026, a measure that, if approved, reauthorizes the City's existing transactions and use (sales) tax by increasing the tax rate thereof by 0.5% for a total of rate of 1.5% and extending the duration of such tax until it is ended by voters ("Measure"). The Measure shall be entitled the "**King City Public Safety, Local Services Measure**". The abbreviated form of the Measure to appear on the ballot is specified below in Section 3.

3. Ballot Language. The ballot language for the proposed Measure shall be as follows:

King City Public Safety, Local Services Measure. Shall the measure continuing King City's locally controlled funding for general city services, such as maintaining 911 fire, medical, police response, gang/violent crime prevention/investigation, and King City's financial stability; providing firefighter protective clothing/ breathing equipment; repairing streets/ potholes, by reauthorizing its sales tax at a rate of 1.5¢, providing approximately $3,600,000 annually until ended by voters; requiring audits, public disclosure, citizens' oversight, all funds benefit King City residents, be adopted?	**YES** **NO**

4. Text of Measure. The proposed complete text of the Measure to be submitted to the voters is attached as **Exhibit A** and incorporated herein by this reference. Pursuant to Revenue and Taxation Code Section 7285.9, the City Council hereby approves the proposed complete text of the Measure in the form as provided in Exhibit A and the submission thereof to the voters of the City at the General Municipal Election to be held on Tuesday, November 3, 2026.

5. Voter Approval Requirement. The vote requirement for the measure to pass is a

majority (50% + 1) of the votes cast.

6. Form & Content of Ballots. The ballots to be used at the election shall be in form and content as required by law.

7. Coordination with County. The City Clerk, as the City's elections official, is authorized, instructed and directed to coordinate with the County of Monterey Registrar of Voters to procure and furnish any and all official ballots, notices, printed matter and all supplies, equipment and paraphernalia that may be necessary in order to properly and lawfully conduct the election.

8. Election Held Pursuant to Law. In all particulars not recited in this resolution, the election shall be held and conducted as provided by law for holding municipal elections.

9. Request for Consolidation.

   A. Pursuant to California Elections Code sections 10400 *et seq.*, the election for the Measure, as described in this Resolution, shall be consolidated with the established election to be conducted on Tuesday, November 3, 2026. Pursuant to the requirements of Elections Code Section 10403, the Board of Supervisors of the County of Monterey is hereby requested to consent and agree to the consolidation of the Measure on the ballot for the City's General Municipal Election which is consolidated with the Statewide General Election to be held on Tuesday, November 3, 2026.

   B. The Monterey County Elections Department is authorized to canvass the returns of the General Municipal Election to be held on Tuesday, November 3, 2026. The election shall be held in all respects as if there were only one election, and only one form of ballot shall be used. The election will be held and conducted in accordance with the provisions of law regulating the elections, including, but not limited to, Elections Code Section 10418.

   C. The Board of Supervisors of the County of Monterey is requested to issue instructions to the Monterey County Elections Department to take any and all steps necessary for conducting and holding the consolidated election.

   D. The City of King City recognizes that additional costs will be incurred by the County of Monterey by reason of this consolidation and agrees to reimburse the County of Monterey for any costs.

   E. The City Clerk shall file a certified copy of this Resolution with the Monterey County Board of Supervisors and Monterey County Elections

Department.

10. Arguments.

A. Primary Argument.

i. In accordance with Article 4, Chapter 3, Division 9 of the Elections Code of the State of California, written argument(s) In Favor of or Against City measure(s) shall not exceed 300 words and shall be filed with the City Clerk, signed, with the printed name(s) and signature(s) of the author(s) submitting it, or if submitted on behalf of an organization, the name of the organization, and the printed name and signature of at least one of its principal officers who is the author of the argument. The arguments shall be accompanied by forms as provided by the City Clerk. The arguments may be changed or withdrawn until and including the date fixed by the City Clerk after which no arguments in favor or against the City measure may be submitted to the City Clerk.

ii. In the event that more than one argument in favor or against the City measure is timely submitted, then consistent with Elections Code Section 9287, the City Clerk shall select the argument to be included with the ballot materials, giving preference and priority in the order set forth in Elections Code Section 9287.

B. Rebuttal Arguments.

i. Pursuant to Section 9285 of the Elections Code of the State of California, when the City Clerk has selected the arguments in favor and against the measure (not exceeding 300 words each) which will be printed and distributed to the voters, the City Clerk shall send a copy of an argument in favor of the proposition to the authors of any argument against the measure and a copy of an argument against the measure to the authors of any argument in favor of the measure immediately upon receiving the arguments.

ii. The author or a majority of the authors of an argument relating to a city measure may prepare and submit a rebuttal argument not exceeding 250 words or may authorize in writing any other person or persons to prepare, submit, or sign the rebuttal argument.

iii. A rebuttal argument may not be signed by more than five authors.

iv. The rebuttal arguments shall be filed with the City Clerk, signed, with the printed name(s) and signature(s) of the author(s) submitting it, or if submitted on behalf of an organization, the name of the organization, and the printed name and signature of at least one of its principal officers, not more than 10 days after the final date for

filing primary arguments. The rebuttal arguments shall be accompanied by forms provided by the City Clerk.

v. Rebuttal arguments shall be printed in the same manner as the direct arguments. Each rebuttal argument shall immediately follow the direct argument which it seeks to rebut.

vi. The provisions of this Section 10(B) shall apply only to the election to be held on Tuesday, November 3, 2026, and shall then be repealed.

C. Impartial Analysis.

i. The City Council directs the City Clerk to transmit a copy of the measure to the City Attorney.

ii. The City Attorney shall prepare an impartial analysis of the measure not exceeding 500 words showing the effect of the measure on the existing law and the operation of the measure.

iii. The analysis shall include a statement indicating whether the measure was placed on the ballot by a petition signed by the requisite number of voters or by the governing body of the City.

iv. In the event the entire text of the measure is not printed on the ballot, nor in the voter information portion of the voter information guide, there shall be printed immediately below the impartial analysis, in no less than 10-point type, a statement in substantially the following form: "The above statement is an impartial analysis of Ordinance or Measure __. If you desire a copy of the ordinance or measure, please call the election official's office at 760-337-4515 and a copy will be mailed at no cost to you."

v. The impartial analysis shall be filed by the date set by the City Clerk for the filing of primary arguments.

D. Printing. The City Clerk shall cause the City Attorney's impartial analysis, and duly selected arguments, to be printed and distributed to voters in accordance with State law regarding the same.

11. Notice of Election; Publication. Notice of the time and place of holding the election is given and the City Clerk is authorized, instructed, and directed to give further or additional notice of the election, in time, form, and manner as required by law.

12. Implementation. The City Clerk and City Manager are authorized to take all actions as necessary to effectuate the purposes of this Resolution and the election. The City Manager is authorized to make any typographical, clerical, and non-substantive corrections and such other revisions as may be required to this Resolution and its

exhibits/attachments, including such typographical, clerical, and non-substantive corrections and/or such other revisions as may be required by the California Department of Fee and Tax Administration.

13. Environmental Compliance. The City Council hereby finds that this Resolution and the adoption of the proposed measure are not in-and-of-itself a "project" pursuant to the California Environmental Quality Act, Public Resources Code section 21000 et seq., including without limitation California Code of Regulations, Title 14, Sections 15378(b)(4) and 15061(b)(3), as it can be seen with certainty that there is no possibility that the adoption of this Resolution or proposed measure itself may have a significant effect on the environment. This Resolution and proposed measure relates to a transactions and use tax and relates to the creation of City funding mechanisms and City fiscal activities, which does not involve any commitment to any project which may result in a potentially significant physical impact on the environment.

14. Certification. The City Clerk shall certify to the passage and adoption of this Resolution.

PASSED AND ADOPTED at a regular meeting of the City Council of the City of King City, California held on the 28th day of July, 2026.

CITY OF KING CITY

By _____
Mike LeBarre, Mayor

ATTEST:

By _____
Erica Sonne, City Clerk

APPROVED AS TO FORM:

By _____
Roy Santos, City Attorney

STATE OF CALIFORNIA)
COUNTY OF MONTEREY) ss
CITY OF KING CITY)

I, Erica Sonne, City Clerk of the City of King City, California do hereby certify that the foregoing Resolution No. 2026-5097 was duly and regularly adopted at a regular meeting of the City Council of the City of King City, California, held on the 28th day of July, 2026, by the following vote:

AYES:
NOES:
ABSENT:
ABSTAINED:

By_____
Erica Sonne, City Clerk

Exhibit A

Proposed Complete Text of the Measure

ORDINANCE NO. 2026-844

AN ORDINANCE OF THE CITY OF KING CITY, CALIFORNIA, AMENDING CHAPTER 3.22 OF TITLE 3 OF THE KING CITY MUNICIPAL CODE IN ITS ENTIRETY BY REAUTHORIZING THE EXISTING CITY'S TRANSACTIONS AND USE TAX BY INCREASING THE TOTAL TAX RATE TO 1.5% AND EXTENDING THE DURATION OF SUCH TAX UNTIL IT IS ENDED BY VOTERS

WHEREAS, the City is working hard to keep our community safe and clean by maintaining essential public safety and quality of life services; and

WHEREAS, after nearly 20 years of financial challenges, the City is now debt-free and focused on protecting this progress to address our local needs and remain self-reliant; and

WHEREAS, bigger cities get more money and resources, leaving the City without its fair-share; and

WHEREAS, the City considered all potential options, including this transactions and use (sales) tax measure that would reauthorize the City's existing transactions and use (sales) tax measure by increasing the tax rate and extending the duration of the tax until it is ended by voters, as discussed further below; and

WHEREAS, funds generated by such a transactions and use (sales) tax measure would stay local for critical city services in King City and could not be taken by the state; and

WHEREAS, the City's Fire Department is run by volunteers with a tight budget for firefighting and emergency medical response needs; and

WHEREAS, additional local funding is needed to maintain 911 emergency fire, medical, and police response, replace old fire equipment and technology, and recruit and retain experienced volunteer firefighters to keep families safe; and

WHEREAS, the City's streets and roads are old and deteriorating, which can potentially damage cars and are potentially unsafe, and this proposed measure could allow the City to prioritize repairing potholes and cracked sidewalks; and

WHEREAS, this transactions and use tax measure is subject to strong accountability provisions, including requiring all funds benefit King City residents only, independent audits and public disclosure, and citizens' oversight; and

WHEREAS, increasing the transactions and use (sales) tax rate from 1% to 1.5% will provide an additional $1.2 million annually to help ensure the City stays financially stable and maintain essential services its residents have stated as priorities, such as preventing and investigating violent crimes; maintaining gang prevention services; keeping public areas safe and clean; and increasing the number of good-paying jobs; and

WHEREAS, the City of King City currently has a 1% transactions and use (sales) tax pursuant to Chapter 3.22, entitled "Transactions and Use Tax", of Title 3 of the King City Municipal Code and where such tax terminates on April 1, 2029; and

WHEREAS, pursuant to Article XIIIC of the California Constitution, Section 53720 et seq. of the California Government Code, the City has the authority to levy a general tax, including, but not limited to, increasing an existing general tax; and

WHEREAS, Article XIIIC, Section 2, of the California Constitution requires that the election at which a general tax increase is submitted to the electorate shall be consolidated with a regularly scheduled general election for members of the governing body of the local government, except in cases of emergency declared by a unanimous vote of the governing body; and

WHEREAS, Part 1.6 (commencing with Section 7251) of Division 2 of the California Revenue and Taxation Code, and Section 7285.9 of the California Revenue and Taxation Code, authorizes a city to adopt a transactions and use tax ordinance, which shall be operative if a majority of the electors voting on the measure vote to approve the imposition of the tax at an election called for that purpose; and

WHEREAS, Revenue and Taxation Code Section 7285.9 requires that any ballot measure/ordinance establishing or increasing a transactions and use tax must be approved by a 2/3 vote of all members of the City Council and by a majority vote of the qualified voters of the City voting on the ballot measure; and

WHEREAS, by Resolution No. 2026-5097 , the City Council approved this Ordinance by a 2/3 vote of all its members; and

WHEREAS, Tuesday, November 3, 2026, is the date of the general municipal election, which has been consolidated with the statewide general election occurring on the same date, at which members of the City Council will be elected;

WHEREAS, this Ordinance amends Chapter 3.22 of Title 3 of the King City Municipal Code in its entirety by reauthorizing the City's existing transactions and use (sales) tax by increasing the tax rate of the existing transactions and use tax to 1.5% and extending the duration thereof until it is ended by voters.

NOW, THEREFORE, the People of the City of King City, California, do hereby ordain as follows:

Section 1. Recitals. The recitals set forth above are incorporated herein by this reference.

Section 2. Chapter 3.22 Amended in its Entirety. Chapter 3.22, entitled "Transactions and Use Tax", of Title 3 of the King City Municipal Code is hereby amended in its entirety as follows:

Chapter 3.22. Transactions and Use Tax

Section 3.22.010. – Title.

This chapter shall be known as the "Transactions and Use Tax". The City of King City hereinafter shall be called "City." This chapter shall be applicable in the incorporated territory of the City.

Section 3.22.020. – Operative Date.

"Operative Date" means the first day of the first calendar quarter commencing

more than 110 days after the adoption of this chapter. For purposes of Revenue and Taxation Code section 7265, this chapter shall be considered adopted on the date of the election in which it is approved by the qualified voters of the City.

Section 3.22.030. – Purpose.

This chapter is adopted to achieve the following, among other purposes, and directs that the provisions hereof be interpreted in order to accomplish those purposes:

A. To impose a retail transactions and use tax in accordance with the provisions of Part 1.6 (commencing with Section 7251) of Division 2 of the Revenue and Taxation Code and Section 7285.9 of Part 1.7 of Division 2 which authorizes the City to adopt this tax ordinance which shall be operative if a majority of the electors voting on the measure vote to approve the imposition of the tax at an election called for that purpose.

B. To adopt a retail transactions and use tax ordinance that incorporates provisions identical to those of the Sales and Use Tax Law of the State of California insofar as those provisions are not inconsistent with the requirements and limitations contained in Part 1.6 of Division 2 of the Revenue and Taxation Code.

C. To adopt a retail transactions and use tax ordinance that imposes a tax and provides a measure therefore that can be administered and collected by the California Department of Tax and Fee Administration in a manner that adapts itself as fully as practicable to, and requires the least possible deviation from, the existing statutory and administrative procedures followed by the California Department of Tax and Fee Administration in administering and collecting the California State Sales and Use Taxes.

D. To adopt a retail transactions and use tax ordinance that can be administered in a manner that will be, to the greatest degree possible, consistent with the provisions of Part 1.6 of Division 2 of the Revenue and Taxation Code, minimize the cost of collecting the transactions and use taxes, and at the same time, minimize the burden of record keeping upon persons subject to taxation under the provisions of this chapter.

Section 3.22.040. – Contract with State.

Prior to the operative date, the City shall contract with the California Department of Tax and Fee Administration to perform all functions incident to the administration and operation of this transactions and use tax ordinance; provided, that if the City shall not have contracted with the California Department of Tax and Fee Administration prior to the operative date, it shall nevertheless so contract and in such a case the operative date shall be the first day of the first calendar quarter following the execution of such a contract.

Section 3.22.050. – Transactions Tax Rate.

For the privilege of selling tangible personal property at retail, a tax is hereby

imposed upon all retailers in the incorporated territory of the City at the rate 1.5% of the gross receipts of any retailer from the sale of all tangible personal property sold at retail in said territory on and after the operative date of this chapter.

Section 3.22.060. – Place of Sale.

For the purposes of this chapter, all retail sales are consummated at the place of business of the retailer unless the tangible personal property sold is delivered by the retailer or his agent to an out-of-state destination or to a common carrier for delivery to an out-of-state destination. The gross receipts from such sales shall include delivery charges, when such charges are subject to the state sales and use tax, regardless of the place to which delivery is made. In the event a retailer has no permanent place of business in the State or has more than one place of business, the place or places at which the retail sales are consummated shall be determined under rules and regulations to be prescribed and adopted by the California Department of Tax and Fee Administration.

Section 3.22.070. – Use Tax Rate.

An excise tax is hereby imposed on the storage, use or other consumption in the City of tangible personal property purchased from any retailer on and after the operative date of this chapter for storage, use or other consumption in said territory at the rate of 1.5% of the sales price of the property. The sales price shall include delivery charges when such charges are subject to state sales or use tax regardless of the place to which delivery is made.

Section 3.22.080. – Adoption of Provisions of State Law.

Except as otherwise provided in this chapter and except insofar as they are inconsistent with the provisions of Part 1.6 of Division 2 of the Revenue and Taxation Code, all of the provisions of Part 1 (commencing with Section 6001) of Division 2 of the Revenue and Taxation Code are hereby adopted and made a part of this chapter as though fully set forth herein.

Section 3.22.090. – Limitations on Adoption of State Law and Collection of Use Taxes.

In adopting the provisions of Part 1 of Division 2 of the Revenue and Taxation Code:

A. Wherever the State of California is named or referred to as the taxing agency, the name of this City shall be substituted therefor. However, the substitution shall not be made when:

1. The word "State" is used as a part of the title of the State Controller, State Treasurer, State Treasury, or the Constitution of the State of California;

2. The result of that substitution would require action to be taken by or against this City or any agency, officer, or employee thereof rather than by or against the California Department of Tax and Fee Administration, in

performing the functions incident to the administration or operation of this chapter.

3. In those sections, including, but not necessarily limited to sections referring to the exterior boundaries of the State of California, where the result of the substitution would be to:

a. Provide an exemption from this tax with respect to certain sales, storage, use or other consumption of tangible personal property which would not otherwise be exempt from this tax while such sales, storage, use or other consumption remain subject to tax by the State under the provisions of Part 1 of Division 2 of the Revenue and Taxation Code, or;

b. Impose this tax with respect to certain sales, storage, use or other consumption of tangible personal property which would not be subject to tax by the state under the said provision of that code.

4. In Sections 6701, 6702 (except in the last sentence thereof), 6711, 6715, 6737, 6797 or 6828 of the Revenue and Taxation Code.

B. The word "City" shall be substituted for the word "State" in the phrase "retailer engaged in business in this State" in Section 6203 and in the definition of that phrase in Section 6203.

1. "A retailer engaged in business in the District" shall also include any retailer that, in the preceding calendar year or the current calendar year, has total combined sales of tangible personal property in this state or for delivery in the State by the retailer and all persons related to the retailer that exceeds five hundred thousand dollars ($500,000). For purposes of this section, a person is related to another person if both persons are related to each other pursuant to Section 267(b) of Title 26 of the United States Code and the regulations thereunder.

Section 3.22.100. – Permit Not Required.

If a seller's permit has been issued to a retailer under Section 6067 of the Revenue and Taxation Code, an additional transactor's permit shall not be required by this chapter.

Section 3.22.110. – Exemptions and Exclusions.

A. There shall be excluded from the measure of the transactions tax and the use tax the amount of any sales tax or use tax imposed by the State of California or by any city, city and county, or county pursuant to the Bradley-Burns Uniform Local Sales and Use Tax Law or the amount of any state-administered transactions or use tax.

B. There are exempted from the computation of the amount of transactions tax the gross receipts from:

1. Sales of tangible personal property, other than fuel or

petroleum products, to operators of aircraft to be used or consumed principally outside the county in which the sale is made and directly and exclusively in the use of such aircraft as common carriers of persons or property under the authority of the laws of this State, the United States, or any foreign government.

2. Sales of property to be used outside the City which is shipped to a point outside the City, pursuant to the contract of sale, by delivery to such point by the retailer or his agent, or by delivery by the retailer to a carrier for shipment to a consignee at such point. For the purposes of this paragraph, delivery to a point outside the City shall be satisfied:

a. With respect to vehicles (other than commercial vehicles) subject to registration pursuant to Chapter 1 (commencing with Section 4000) of Division 3 of the Vehicle Code, aircraft licensed in compliance with Section 21411 of the Public Utilities Code, and undocumented vessels registered under Division 3.5 (commencing with Section 9840) of the Vehicle Code by registration to an out-of-City address and by a declaration under penalty of perjury, signed by the buyer, stating that such address is, in fact, his or her principal place of residence; and

b. With respect to commercial vehicles, by registration to a place of business out-of-City and declaration under penalty of perjury, signed by the buyer, that the vehicle will be operated from that address.

3. The sale of tangible personal property if the seller is obligated to furnish the property for a fixed price pursuant to a contract entered into prior to the operative date of this chapter.

4. A lease of tangible personal property which is a continuing sale of such property, for any period of time for which the lessor is obligated to lease the property for an amount fixed by the lease prior to the operative date of this chapter.

5. For the purposes of subparagraphs (3) and (4) of this section, the sale or lease of tangible personal property shall be deemed not to be obligated pursuant to a contract or lease for any period of time for which any party to the contract or lease has the unconditional right to terminate the contract or lease upon notice, whether or not such right is exercised.

C. There are exempted from the use tax imposed by this chapter, the storage, use or other consumption in this City of tangible personal property:

1. The gross receipts from the sale of which have been subject to a transactions tax under any state-administered transactions and use tax ordinance.

2. Other than fuel or petroleum products purchased by operators of aircraft and used or consumed by such operators directly and exclusively in the use of such aircraft as common carriers of persons or property for hire or compensation under a certificate of public convenience and necessity issued pursuant to the laws of this State, the United States, or any foreign

government. This exemption is in addition to the exemptions provided in Sections 6366 and 6366.1 of the Revenue and Taxation Code of the State of California.

3. If the purchaser is obligated to purchase the property for a fixed price pursuant to a contract entered into prior to the operative date of this chapter.

4. If the possession of, or the exercise of any right or power over, the tangible personal property arises under a lease which is a continuing purchase of such property for any period of time for which the lessee is obligated to lease the property for an amount fixed by a lease prior to the operative date of this chapter.

5. For the purposes of subparagraphs (3) and (4) of this section, storage, use, or other consumption, or possession of, or exercise of any right or power over, tangible personal property shall be deemed not to be obligated pursuant to a contract or lease for any period of time for which any party to the contract or lease has the unconditional right to terminate the contract or lease upon notice, whether or not such right is exercised.

6. Except as provided in subparagraph (7), a retailer engaged in business in the City shall not be required to collect use tax from the purchaser of tangible personal property, unless the retailer ships or delivers the property into the City or participates within the City in making the sale of the property, including, but not limited to, soliciting or receiving the order, either directly or indirectly, at a place of business of the retailer in the City or through any representative, agent, canvasser, solicitor, subsidiary, or person in the City under the authority of the retailer.

7. "A retailer engaged in business in the City" shall also include any retailer of any of the following: vehicles subject to registration pursuant to Chapter 1 (commencing with Section 4000) of Division 3 of the Vehicle Code, aircraft licensed in compliance with Section 21411 of the Public Utilities Code, or undocumented vessels registered under Division 3.5 (commencing with Section 9840) of the Vehicle Code. That retailer shall be required to collect use tax from any purchaser who registers or licenses the vehicle, vessel, or aircraft at an address in the City.

D. Any person subject to use tax under this chapter may credit against that tax any transactions tax or reimbursement for transactions tax paid to a district imposing, or retailer liable for a transactions tax pursuant to Part 1.6 of Division 2 of the Revenue and Taxation Code with respect to the sale to the person of the property the storage, use or other consumption of which is subject to the use tax.

Section 3.22.120. – Amendments.

All amendments subsequent to the effective date of this chapter to Part 1 of Division 2 of the Revenue and Taxation Code relating to sales and use taxes and which are not inconsistent with Part 1.6 and Part 1.7 of Division 2 of the Revenue

and Taxation Code, and all amendments to Part 1.6 and Part 1.7 of Division 2 of the Revenue and Taxation Code, shall automatically become a part of this chapter, provided however, that no such amendment shall operate so as to affect the rate of tax imposed by this chapter.

Section 3.22.130. – Enjoining Collection Forbidden.

No injunction or writ of mandate or other legal or equitable process shall issue in any suit, action or proceeding in any court against the State or the City, or against any officer of the State or the City, to prevent or enjoin the collection under this chapter, or Part 1.6 of Division 2 of the Revenue and Taxation Code, of any tax or any amount of tax required to be collected.

Section 3.22.140. – Severability.

If any provision of this chapter or the application thereof to any person or circumstance is held invalid, the remainder of the chapter and the application of such provision to other persons or circumstances shall not be affected thereby.

Section 3.22.150. – Effective Date.

Pursuant to Elections Code Section 9217, this chapter shall be considered adopted on the date that the City Council declares that the voters of the City of King City have approved Ordinance No. 2026-844 by a vote of no less than a majority of the votes cast by the electors voting at the election held on Tuesday, November 3, 2026, and shall go into effect ten (10) days thereafter.

Section 3.22.160. – Termination Date.

The taxes imposed by this chapter shall remain in effect until it is ended by voters.

Section 3.22.170. – General Tax.

The proceeds from the tax imposed by this chapter shall be for unrestricted general revenue purposes of the City and shall be placed into the General Fund of the City.

Section 3.22.180. – Amendment by City Council.

The City Council has the right and authority to amend this chapter, to further its purposes and intent (including but not limited to amendment for more efficient administration as determined by the City Council), in any manner that does not increase a tax rate, or otherwise constitute a tax increase for which voter approval is required by Article XIII C of the California Constitution, pursuant to Section 9217 of the California Elections Code.

Section 3.22.190. – Annual Audit.

The proceeds resulting from this transactions and use tax shall subject to the same independent annual audit requirements as other general fund revenue. The independent auditor's report, which shall include an accounting of the revenues received and expenditures made from the transactions and use tax, will be

presented annually to the City Council and made available for public review. Further, such independent auditor's report and such presentation thereof to the City Council may be combined with the City's annual financial audit.

Section 3.22.200. – Citizen Oversight.

Following the operative date, the City shall establish a community oversight advisory committee, which may be its budget advisory committee or a separate committee. The committee shall be charged with making recommendations with respect to expenditures of the transactions and use tax as part of the overall annual budget process. The recommendations of the committee shall be presented to the city council but shall not be binding on the city council.

Section 3.22.210. – Out-of-state retailers collecting sales and use tax.

For the purposes of this Chapter 3.22, incorporating provisions of state law, including, but not limited to, Revenue and Taxation Code Sections 6203 and 7262, it is the city of King City's intent that the decision of the United States Supreme Court in *South Dakota v. Wayfair, Inc., et al.*, decided June 20, 2018, be given its full force and effect in requiring out-of-state retailers (and their agents and collectors) with virtual and economic interests in the state, including the city, be required to collect and remit the transactions and use tax. For purposes of imposing a tax or establishing a duty to collect and remit a tax under this chapter by out-of-state retailers and others, "substantial nexus" shall be construed broadly in favor of the imposition; collection and/or remittance of the transaction and use to the fullest extent permitted by state and federal law, and as it may change from time to time by judicial interpretation or by statutory enactment.

Section 3. Council Authority to Amend. The City Council has the right and authority to amend this Ordinance, to further its purposes and intent (including but not limited to amendment for more efficient administration as determined by the City Council), in any manner that does not increase a tax rate, or otherwise constitute a tax increase for which voter approval is required by Article XIII C of the California Constitution, pursuant to Section 9217 of the California Elections Code.

Section 4. Environmental Compliance. The City hereby determines that this Ordinance is not in-and-of-itself a "project" pursuant to the California Environmental Quality Act, Public Resources Code section 21000 et seq., including without limitation California Code of Regulations, Title 14, Sections 15378(b)(4) and 15061(b)(3), as it can be seen with certainty that there is no possibility that the adoption of the ordinance itself may have a significant effect on the environment. This Ordinance relates to a transaction and use tax and relates to the creation of City funding mechanisms and City fiscal activities, which does not involve any commitment to any project which may result in a potentially significant physical impact on the environment.

Section 5. Severability. Should any section, subsection, paragraph, sentence, clause, or phrase of this Ordinance be declared unconstitutional or invalid for any reason, such declaration shall not affect the validity of the remaining portions of this Ordinance.

Section 6. Date of Adoption; Effective Date. Pursuant to Elections Code Section 9217, this Ordinance shall be considered adopted on the date that the City Council declares that the voters of the City of King City have approved this Ordinance by a vote of no less than a majority

of the votes cast by the electors voting at the General Municipal Election held on Tuesday, November 3, 2026, and shall go into effect ten (10) days thereafter.

Section 7. Execution. The Mayor shall sign this Ordinance and the City Clerk shall attest and certify to the passage and adoption of this Ordinance if a majority of the voters voting in the City's general municipal election on November 3, 2026, approve it.

Section 8. Publication. The City Clerk shall cause this Ordinance to be published in the manner required by law.

PASSED, APPROVED AND ADOPTED BY THE PEOPLE OF THE CITY OF King City at the General Municipal Election held on November 3, 2026.

APPROVED

_____
Mayor

ATTEST

_____
Erica Sonne
City Clerk

APPROVED AS TO FORM:

By _____
Roy Santos, City Attorney